

SCHAAD v. GC ORGANICS, LLC

23CV46798

MOTION FOR ORDER FOR APPLICATION OF FRANCHISE TOWARD SATISFACTION OF MONEY JUDGMENT

Judgment creditor Schaad filed a complaint against judgment debtor GC Organics, LLC ("GC Organics") for breach of contract. On August 21, 2023, the period expired for GC Organics to file an answer to said complaint and default was entered as requested, with a default judgment in plaintiff's favor of \$106,917.17, in damages and reasonable attorney's fees and expenses.

GC Organics was the holder of a right-to-apply for a commercial cannabis cultivation permit, a limited number of which have been issued and acknowledged by Calaveras County. (See Calaveras County Code of Ordinances, tit. 17, art. 2, ch. 17.95.) Plaintiff argues that the right-to-apply is a government "franchise" that has substantial value and is transferable (i.e., saleable). In this matter, plaintiff sold GC Organics the subject right-to-apply before the present dispute.

As the judgment creditor, plaintiff now moves the court for an order applying this Right-to-Apply toward the satisfaction of the judgment under Code of Civil Procedure section 708.920.

An opposition to the motion has been filed by the County of Calaveras ("County"), arguing in sum that there is no franchise as argued by Schaad.

A "right to apply" is not a grant of rights or privileges by a public entity. There is no program through which the County issues something called a "right to apply" for a cannabis cultivation permit. The County issues commercial cannabis activity permits to qualified applicants under its cannabis regulatory program as described in Chapter 17.95. Only a person with a 'commercial cannabis cultivation permit' (one of several types of commercial cannabis activity permits) can legally farm cannabis commercially in Calaveras County. Those who have a "right to apply," as that term is described in County Code §17.95.050(D)(14), are not entitled to receive a cannabis cultivation permit or to otherwise cultivate cannabis in Calaveras County. They are entitled only to further review of their permit application.

The County goes on to differentiate a "right to apply," a "franchise," "successor-in-interest certification," and "a commercial cannabis cultivation permit."

A government franchise in California is a special privilege granted by the government to a particular individual or entity, rather than to all as a common right (*Jacks v. City of Santa Barbara* (2017) 3 Cal. 5th 248.) This privilege often pertains to services and functions that the government is obligated to furnish to its citizens, such as water, gas, electricity, or telephone services, and the right to use public streets and ways to bring them to the general public (See *Copt-Air, Inc. v. City of San Diego* (1971) 15 Cal. App. 3d 984; *Pacific Bell Telephone Co. v. Southern California Edison Co.* (2012) 208 Cal. App. 4th 1400; *Saathoff v. City of San Diego* (1995) 35 Cal. App. 4th 697.) A franchise is not a mere license or a privilege personal in nature, but a special privilege that lies only in grant from the sovereign and does not exist at common law (*Subriar v. City of Bakersfield* (1976) 59 Cal. App. 3d 175.) It is a negotiated contract between a private enterprise and a governmental entity for the long-term possession of land, with franchise fees paid as compensation for the grant of a *right of way* (*Santa Barbara County Taxpayers Ass'n v. Bd. of Supervisors* (1989) 209 Cal. App. 3d 940.)

Although the right to apply that Schaad transferred to GC Organics does not meet the formal requirements of a government franchise as it confers no special privileges beyond applying for a permit, and the nomenclature of whether it is a "right to apply," a "franchise," "successor-in-interest certification," or "a commercial cannabis cultivation permit" – this intangible right to apply can be returned to Schaad by this Court's inherent equitable powers. Although the Court agrees with the County of Calaveras that plaintiff's request to characterize the "right to apply" as a "franchise" for purposes of CCP §708.910 is incorrect, no matter how defined or denominated the "right to apply" should be returned to him.

Based on the foregoing, the motion of Schaad to transfer the right to apply from GC Organics is GRANTED.

The Clerk shall provide notice of this Ruling to the parties forthwith. Moving party to submit a formal order pursuant to Rule of Court 3.1312 in conformity with this ruling.

ZAMORA v. CLAAP

16CV41649

MOTION FOR ATTORNEY FEES and MOTION TO TAX COSTS AND STRIKE REPLY DECLARATIONS

Remittitur to trial court was filed Oct. 2, 2023; the Motion for Attorney's Fees was timely filed Oct. 27, 2023.

The court's authority to award attorney fees in California is governed by various statutes and case law. For instance, as relevant herein, under Welfare and Institutions Code Section 15657.5(a)(b), plaintiff was entitled to award of attorney fees and costs for financial abuse. An award of attorney's fees is a mandatory form of relief regardless of whether the plaintiff is awarded any other form of relief (*Arace v. Medico Investments, LLC* (2020) 48 Cal. App. 5th 977.) Similarly, a trial court's award of attorney's fees is reviewed for an abuse of discretion, and the appellate court will not disturb the trial court's judgment unless it is clearly wrong (See *Meridian Financial Services, Inc. v. Phan* (2021) 67 Cal. App. 5th 657; *Gutierrez v. Chopard USA Ltd.* (2022) 82 Cal. App. 5th 383; *Snoeck v. ExakTime Innovations, Inc.* (2023) 96 Cal. App. 5th 908.)

California Welfare and Institutions Code Section 15657.5(a)(b)(d)(e) provides in pertinent part:

(a) Where it is proven by a preponderance of the evidence that a defendant is liable for financial abuse, as defined in Section 15610.30, in addition to compensatory damages and all other remedies otherwise provided by law, the court shall award to the plaintiff reasonable attorney's fees and costs. The term "costs" includes, but is not limited to, reasonable fees for the services of a conservator, if any, devoted to the litigation of a claim brought under this article.

(b) Where it is proven by a preponderance of the evidence that a defendant is liable for financial abuse, as defined in Section 15610.30, and where it is proven by clear and convincing evidence that the defendant has been guilty of recklessness, oppression, fraud, or malice in the commission of the abuse, in addition to reasonable attorney's fees and costs set forth in subdivision (a), compensatory damages, and all other remedies otherwise provided by law, the limitations imposed by Section 377.34 of the Code of Civil Procedure on the damages recoverable shall not apply.

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